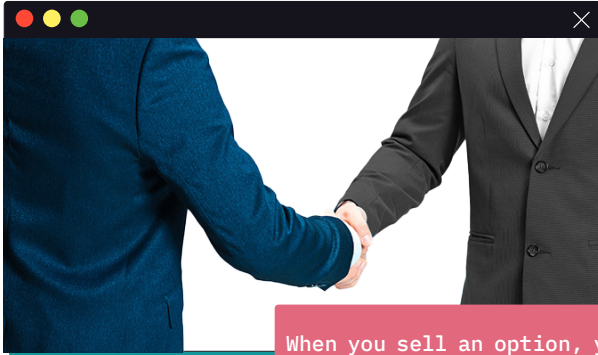


OPTIONS SELLING AND ITS BENEFITS

Option Selling involves writing or shorting options contracts to other market participants in order to earn its premium.



When you sell an option, you receive a premium from the buyer and hence you take on the obligation to buy (in the case of a put option) or sell (in the case of a call option) the underlying asset at a particular strike price if the buyer decides to execute the option.

This strategy is often deployed by traders who think that the market is not going to move significantly and is likely to stay within a range. The benefits of option selling over option buying include.

1) HIGHER CHANCES OF SUCCESS

Options sellers keep the premium as long as the option does not go against their direction significantly. You see, in options selling, there is no need for the underlying asset to move in the favor of a seller. A seller earns money even if the underlying asset goes sideways.

